Standard Chartered

Standard Chartered Bank Kenya Limited

Full Year 2019 Results

19 March 2020

Here for good

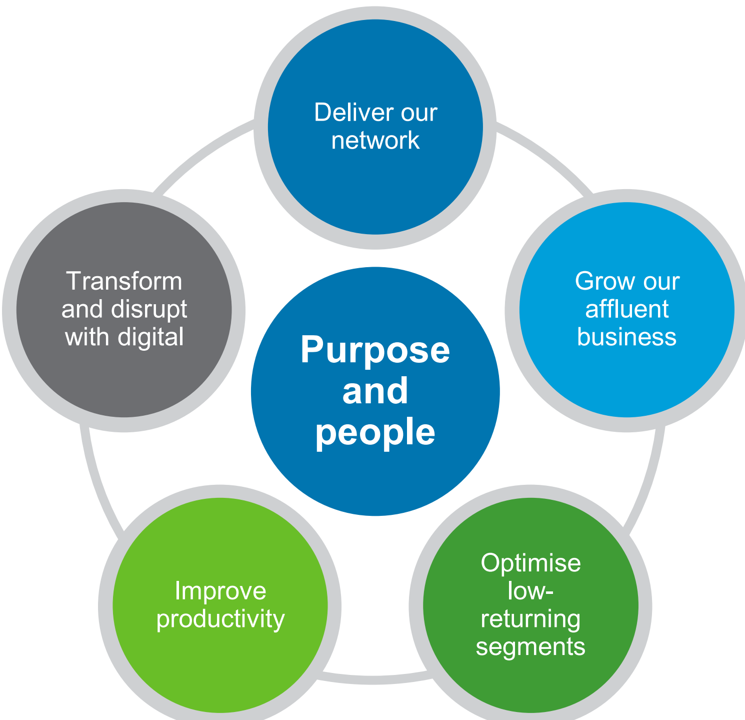
Kariuki Ngari

Chief Executive Officer

Standard Chartered

We are delivering on our strategic commitments

We have achieved important milestones on our strategic priorities in 2019



- The significant investment in Digital is starting to pay-off
- We continue to cement our leadership in Wealth Management as we grow our affluent business
- Our Network continues to be a unique differentiator
- There is encouraging progress optimising performance in the Commercial Banking segment
- We are building a more skilled and productive workforce and enabling client-centric ways of working
- We are taking bold actions to promote sustainable economic and social development

Standard Chartered

Our purpose drives our business decisions and priorities

Our purpose: Driving commerce and prosperity through our unique diversity

We understand our responsibilities

- Promoting a safe and sound financial system

We will lead sustainable financing

- Committed to providing advisory, financing and debt structuring service for infrastructure projects and clean technologies

We support the communities where we work and live

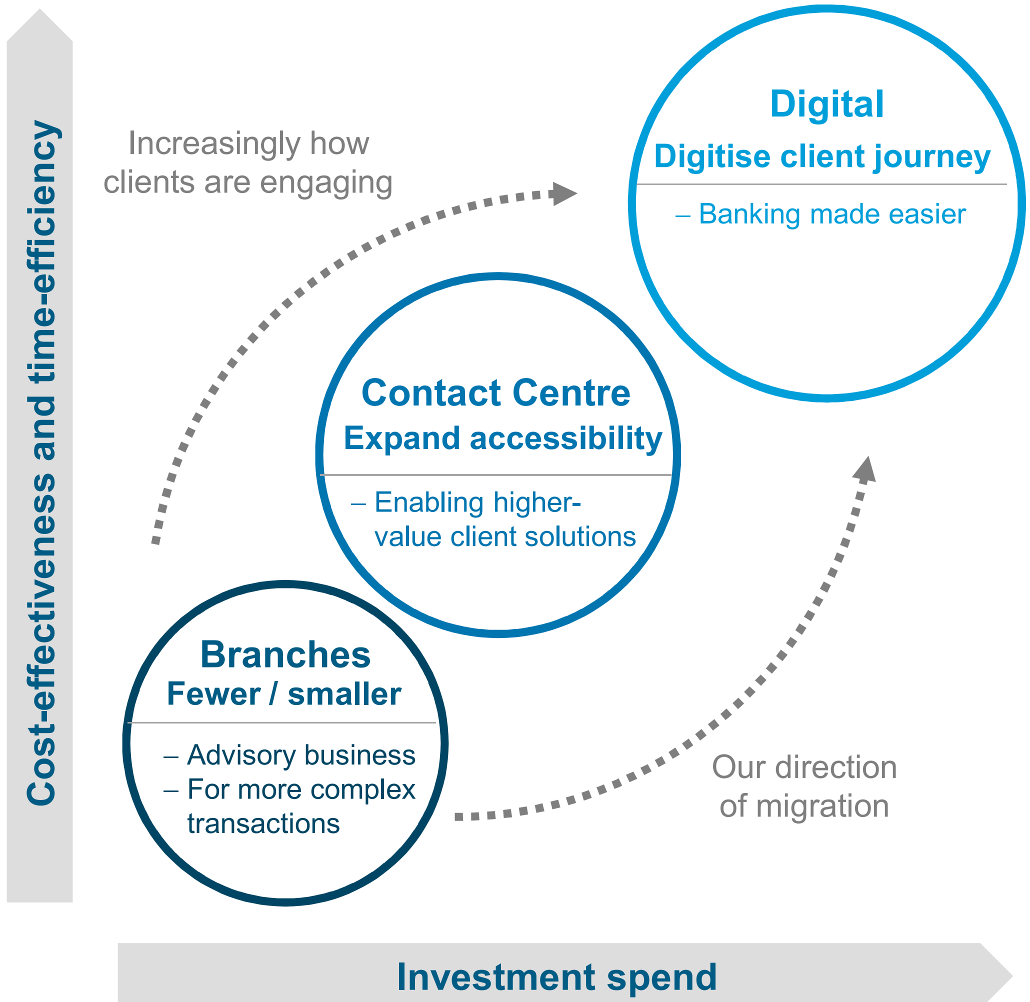
- Launched 'Futuremakers' to tackle inequality and promote inclusion
  - Invested KES 27 million
  - Involved 30 companies
- Through our Goal programme, engaged >4,400 girls in training
- Launched Women In Tech Incubator cohort 3

We will maximise return from investment in our people

- Building skills of future strategic value including analytics, digital and cyber capabilities
- We are creating a working environment that supports resilience and creativity

Standard Chartered

We are positioned to transform and disrupt with digital …



We have …

Launched the Retail **Digital Bank**

- **70** services on the SC Mobile app
- Handling **52%** of service requests

85% transactions conducted in non-branch channels

15% of total cost base is digital investment

48 corporate cash deposit machines (CDMs)

Enhanced the Corporate online banking platform **Straight2Bank**

c.70% of corporate clients' FX volumes done online via SARFQ[1]

[1]SARFQ = stand alone request for quote functionality in Straight2Bank

… and are seeing encouraging early signs of progress

Strategic priorities | Financial information

Recent progress

26k+ accounts opened through the SC Mobile platform in 9 months

2x improvement in sales/rate of account opening

10%+ increase in digital penetration across all segments

3K manhours saved through Robotics Process Automation in operations

30% growth in KRA collections through our *Straight2Bank* online banking platform in 2 years.

Future initiatives

Mobile lending (including SME)

Enhanced CDM capabilities and increased count

Remote cheque deposit capabilities

E-commerce and API integration

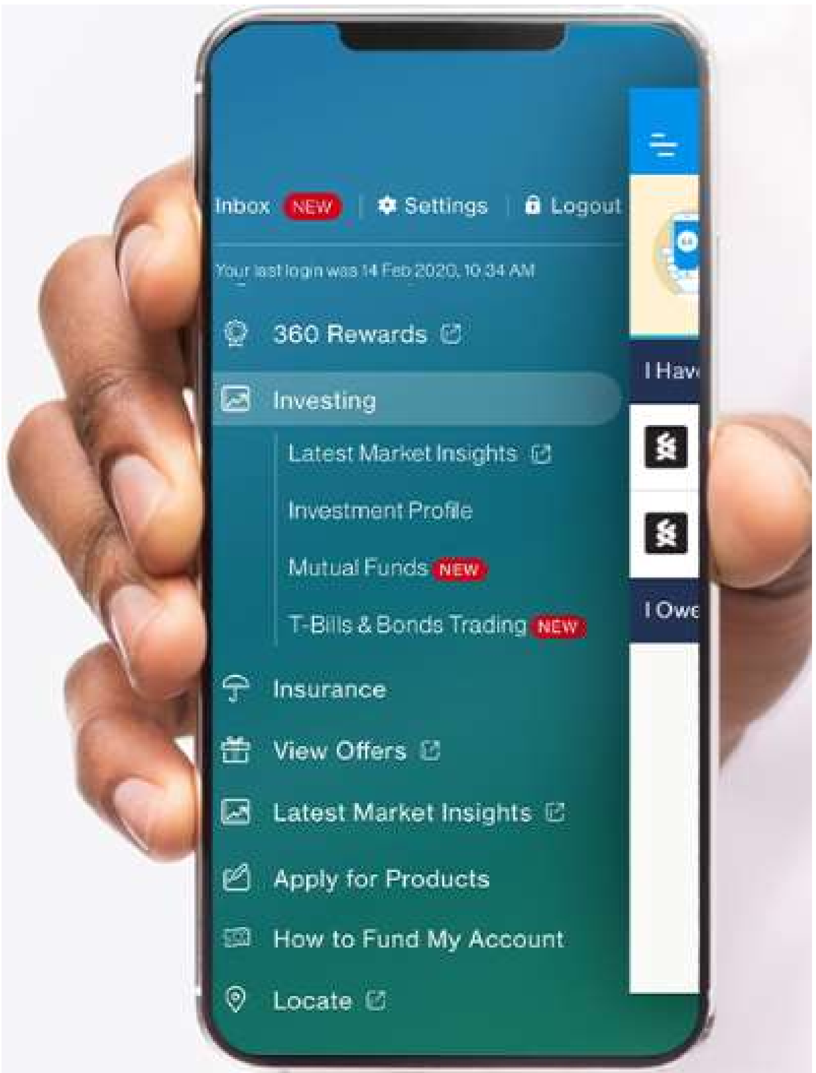
ACCOLADES

Best Digital Consumer Bank, 2019 by *Global Finance.*

Best Overall Bank and Best Tier 1 Bank, *KBA Customer Satisfaction survey*

Outstanding Customer Experience, *The Digital Banker*

We continue to cement our leadership Wealth Management in Kenya



Available on SC Mobile App

- Home, Motor, Travel and Farewell insurance
- Local currency Treasury Bills (T-bills) and Bonds
- Offshore mutual funds with renowned global fund managers
- Foreign exchange transactions in major international currencies.
- Latest global market insights and investment advice

We are developing best-in-class capabilities

Recent progress

Gone live in 2020 on mobile for:

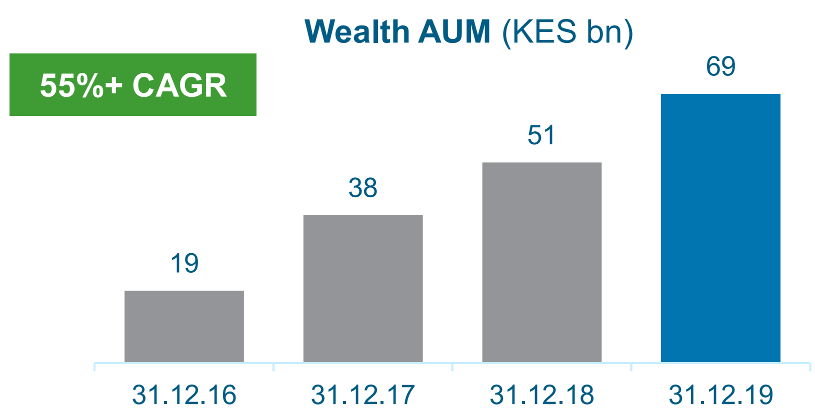
- Fixed Income (local currency T-bills and Bonds)
- Farewell insurance plan (Funeral cover)

KES 250Mn+ investment in digital in 2019.

55% growth in AUM (3-year CAGR)

28% increase in revenue per headcount – due to digital

100+ Certified wealth advisers

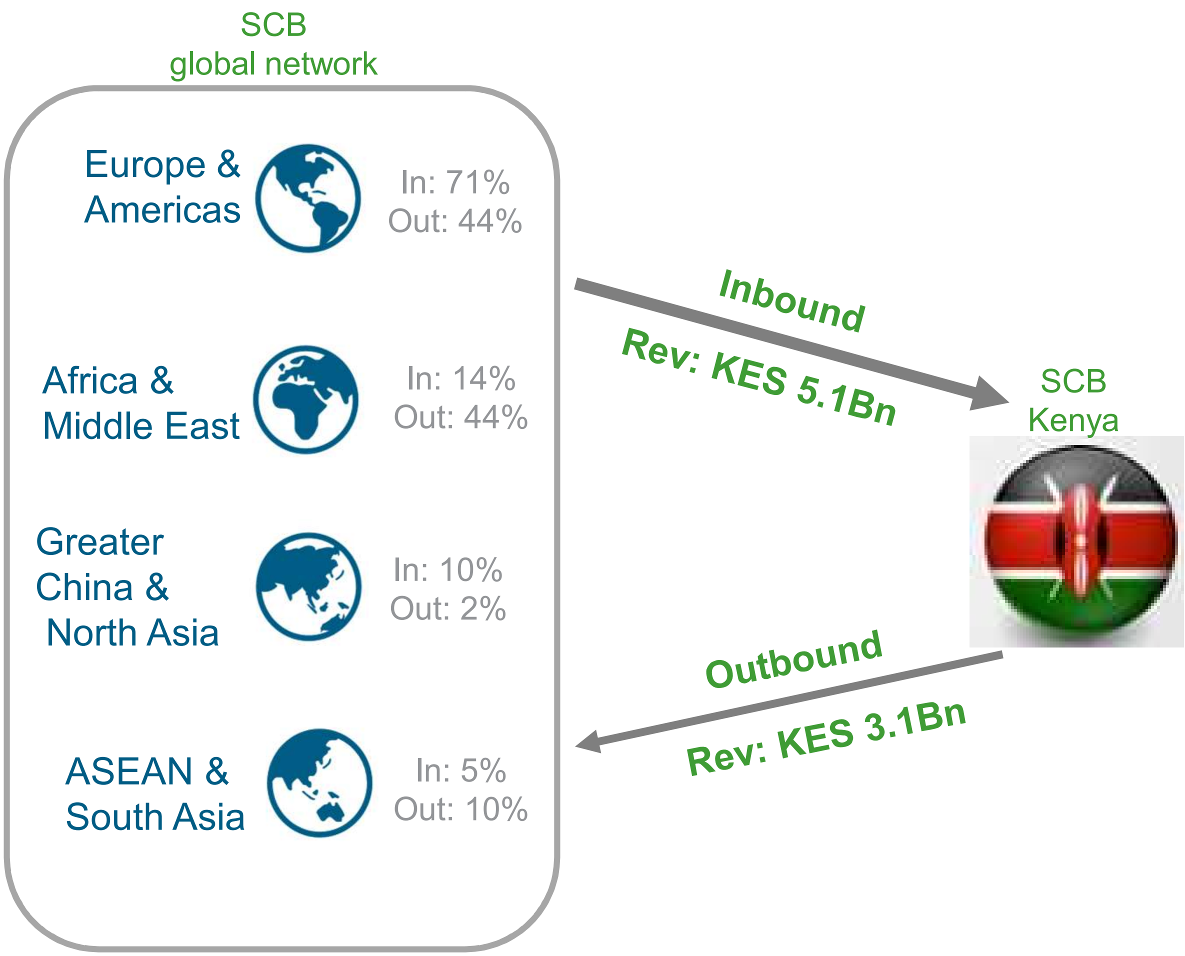


Future initiatives

- Increase uptake of existing digital products (FX, Investments and Insurance)
- Scale up the digital offering to introduce more products and services
- Continue upskilling wealth advisers
- Increase product penetration by 25% among existing clients

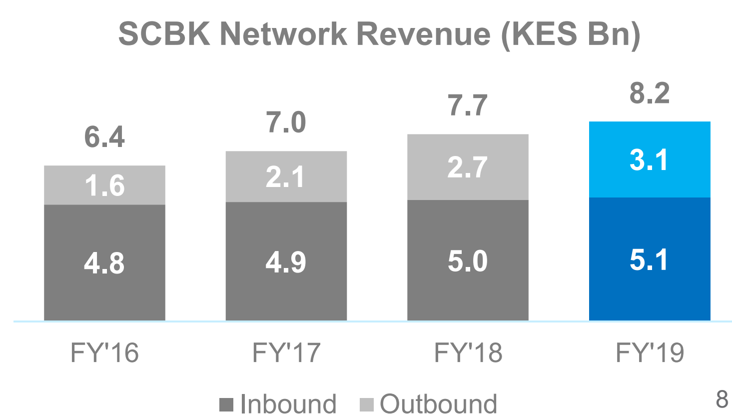
Standard Chartered

Our global network is a key differentiator



Recent progress

- KES 5Bn+ financing to SME distributors of MNCs (ecosystem)
- 60% of CIB income is generated from the network.
- 15% y/y growth in Outbound income.
- 30% y/y growth in China corridor network income, 25% 3-year CAGR.
- 9% 3-year CAGR in network income



- Inbound: Flows to Kenya from clients headquartered elsewhere in our network
- Outbound: Flows to our network from clients headquartered in Kenya
- Rev: FY19 revenue

Standard Chartered

Optimising low-returning segments and Improving productivity

Recent progress

- CB has turned around to profitability, 2019 PBT at **KES 529Mn** (2018: KES 9Mn loss);
    - continued improvement in credit quality
    - accelerated new-to-bank client acquisitions
    - innovative solutions such as 'Ecosystem'
- Broad-based improvement in productivity across the bank with 13% increase in revenue per FTE
- 50%+ reduction in client manual service requests due to enhanced digital self-service options
- Significant improvement in CCIB turnaround time in:
    - client onboarding (1 week), and
    - credit initiation to decisioning (<30 days)

On-going initiatives

- Digitisation of credit decisioning
- Enhancement of the branch network – area, look and feel
- Robotics Process Automation to improve efficiency

CB = Commercial Banking segment
PBT – Profit before tax
FTE = full time employee
CCIB = Corporate, Commercial & Institutional Banking

We are investing to enhance our cyber security and financial crime compliance (FCC) capabilities

Training

- Increased training and awareness among staff and clients

Enhanced capabilities

- investments undertaken to further enhance our cyber security
- enhanced our transaction monitoring capabilities through investment in a new surveillance system

Enhanced operating model

- to clarify accountabilities between the first and second lines of defence

Recovery drills

- crisis management exercises to ensure business responses with focus on clients and critical services

Our approach to Sustainability

Sustainability Priorities

Three priorities that embed sustainability in our business, organisation and communities

We support our clients through our core business to promote sustainable development

We strive to manage our business sustainably and responsibly

We aim to create a more inclusive economy by sharing our skills and expertise, and developing community programmes that transform lives

Promoting Sustainable Finance

Managing environmental and social risks responsibly

- We are a signatory to The UN Sustainable Development Goals (SDGs)
- Greatest opportunities in Kenya will be in:
  - Achieving and maintaining universal access to electricity (SDG 7)
  - Improvement in industry, innovation and infrastructure (SDG 9)
  - Clean water and sanitation facilities (SDG 6)

Our commitments

- Partner with the government and other private sector participants
- Provide financing for clean technologies
- Provide advisory, financing and debt structuring services for infrastructure projects

SDG = United Nations Sustainable Development Goals

Chemutai Murgor

Chief Financial Officer

Standard Chartered

Financial performance in FY' 2019

Strong capital and improving profitability

Strategic priorities | Financial results

(KES bn)	FY'19	FY'18	YoY[1]
Operating income	**28.7**	**28.6**	**0%**
Operating expenses	(15.9)	(14.9)	(7%)
Net impairment losses	(0.6)	(1.9)	83%
Profit before taxation	**12.2**	**11.8**	**3%**
Profit after taxation	**8.2**	**8.1**	**2%**
Basic earnings per share (KES)	23.49	23.09	2%
	31.12.19	**31.12.18**	
Loans and Advances to customers (net)	128.7	118.7	8%
Deposits from customers	228.4	224.3	2%
Total capital ratio (%)	**17.73**	**19.47**	**(1.74)**
Liquidity ratio (%)	63	67	(4.04)
AD[2] ratio (%)	56	53	3.43

- Income broadly flat reflecting focus on balance sheet quality
- Investing in technology, cyber security and people
- Continued improvement in credit quality
- Improved profitability leading to higher EPS
- Steadily growing balance sheet, with focus on sustainable growth
- Strong capital and liquidity position with prudent surplus to regulatory requirements

Standard Chartered

[1] YoY = year-on-year variance is better/(worse) other than for balance sheet items, which is increase/(decrease)
[2]AD = Assets to Deposits

Financial performance summary

2019 Segment highlights

Strategic priorities | **Financial results**

Operating income remained flat y/y

- Underlying costs (excluding investments) flat y/y.
- Investments **>20%** up y/y

- **70%** y/y drop in ECL.
- Cover ratio up **300 bps** to 70%

- **3%** increase in PBT.
- EPS up **2%** y/y

- **8%** growth in Loans & Advances
- **2%** growth in Deposits

Strong balance sheet

- **17.7%** Total CAR
- **63%** Liquidity ratio

Corporate & Institutional Banking

- **30%** revenue contribution
- **90%** clients on digital channels
- 1% y/y drop in operating income – margin compression and asset de-risking to mitigate credit impairment losses
- Outbound income up **15%** y/y
- **60%** Network income contribution (In+Outbound)
- Impairment 5-times lower y/y, improved credit quality

Commercial Banking

- **9%** revenue contribution
- **90%** clients on digital channels
- **6%** y/y increase in operating income, broad-based balance sheet growth
- **73%** reduction in Impairment. Improved credit quality
- PBT significantly up, to **KES 529Mn** from a loss of 9Mn in 2018
- KES 3.5Bn financing to SME distributors of MNCs

Retail Banking

- **45%** revenue contribution
- **65%+** clients on digital channels
- **3%** y/y growth in operating income driven by Wealth Management
- Substantial investment in digital
- **27%** decline in impairment due to improved credit quality
- PBT up **18%** y/y – combination of income growth and reduction in impairment

Standard Chartered

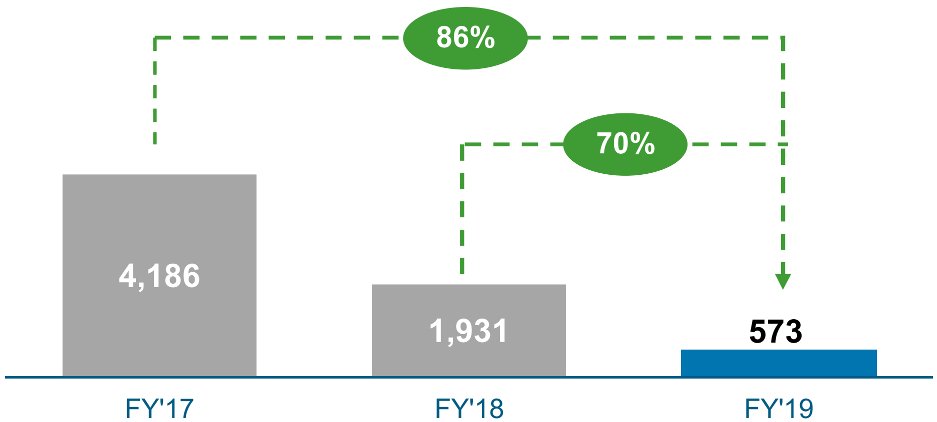
TB = Transaction Banking
FM = Financial Markets
MNC = Multi-national corporations
PBT = Profit before tax

y/y = year-on-year variance
CAR = Capital Adequacy Ratio
ECL = Expected Credit Losses

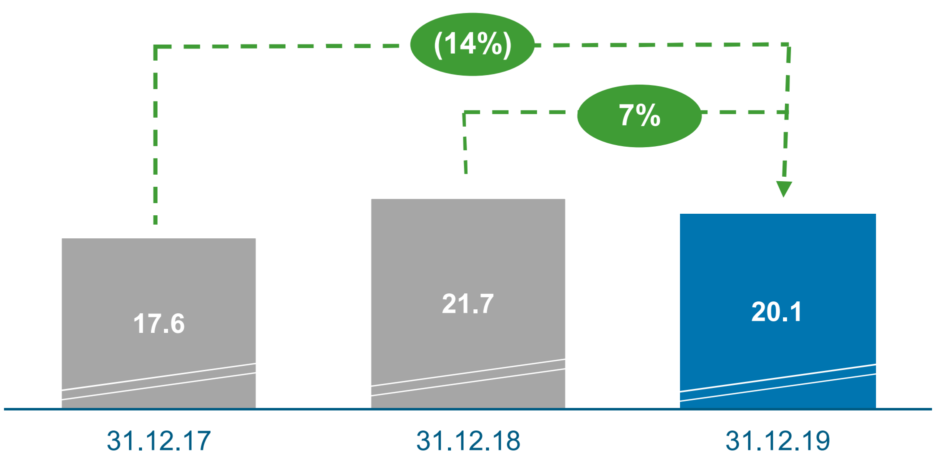
Improving credit quality

…with lower impairment losses

Credit impairment (KES mn)



Gross NPL (KES bn)

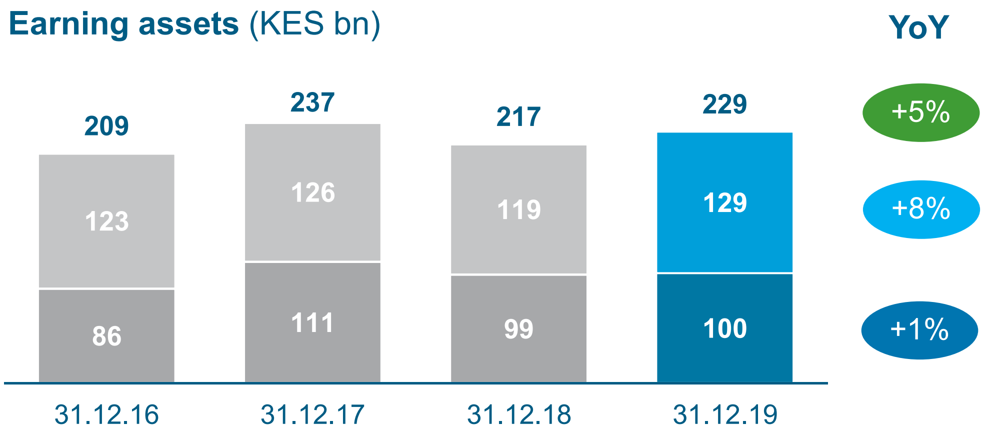


- Continued improvement in credit quality
  - Significant reduction in credit impairment on loans
- 7% reduction in gross non-performing loans
- Cover ratio[1] strong at 70%
  - Considerably higher than industry average

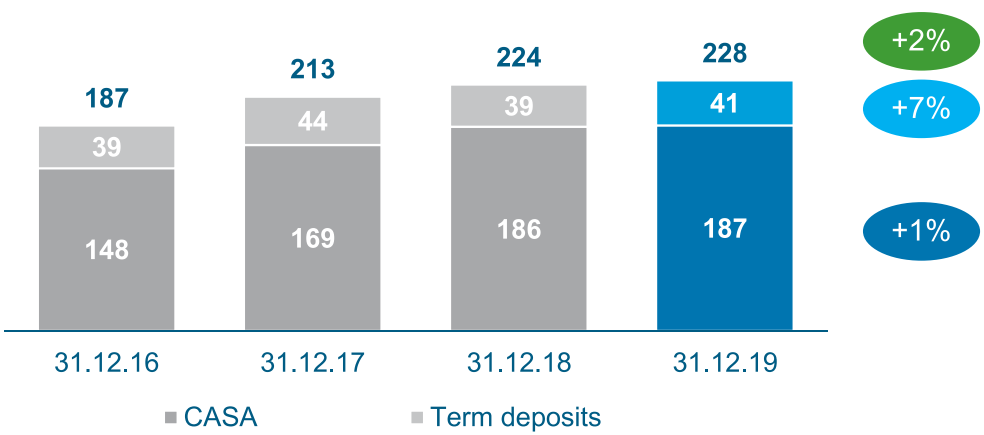
[1] Cover ratio is total loan impairment provisions divided by gross non-performing loans

Broad-based balance sheet growth

Earning assets (KES bn)



Customer deposits (KES bn)

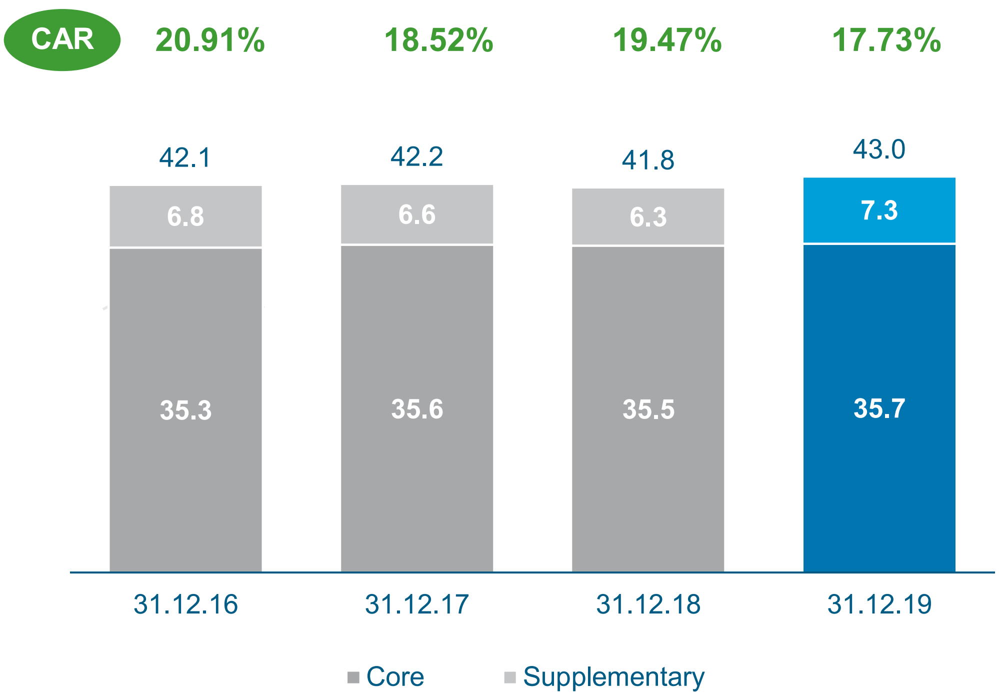


- Growth in customer loans across all segments
- Targeted financing to value chains in the government's "Big four" agenda
- Stable customer deposit mix
  - CASA[1] to total deposits ratio of 82%

[1] CASA: Current Accounts and Savings Accounts

Strong capital position

Capital (KES bn)



- Well capitalised to support sustainable growth opportunities
- Prudent surplus to regulatory requirements
- Aligned to our capital risk appetite

Kariuki Ngari

Chief Executive Officer

Standard Chartered

Dividend announcement

We are pleased to announce a final ordinary dividend of KES 15.00 for every ordinary share, which will bring the total 2019 dividend to KES 20.00, up 5%

Covid-19 response: we care about our employees, clients and community

- We have instigated precautionary measures to protect our employees and clients
  - Enforced travel restrictions
  - Significantly enhanced cleaning and sanitisation in all our premises
  - Provision of sanitisers and other protective materials to all our frontline colleagues
  - Home/split working for our Head Office staff to increase social distancing
  - Our digital platforms in Retail and Corporate are supporting non face-to-face service
- We are launching relief measures to support our clients
  - Credit limit increases
  - Moratoriums or varied payment terms
- We will facilitate cashless transactions
- We continue to monitor the situation as it evolves

Covid-19 Update

- Not practicable to quantify the exact impact of Covid-19 at present
- Currently working with our clients to understand their challenges …
- … and will support them during this period
- Significant negative impact if it extends beyond 90 days
- resulting in suppressed income + additional provisions

We are executing our strategy to create the leading bank for clients in Kenya

Our strategy remains appropriate

- We will continue to invest in areas of existing strength and to create new differentiated advantages
- We remain cognisant of our responsibility in the fight against financial crime …
- … and will not compromise on the quality of the income we are generating
- Our purpose to drive commerce and prosperity through our unique diversity remains our guiding force
- 2020 headwinds are expected to be transitory, and we will adapt to the challenges

Q & A

Appendix: Glossary

Abbreviation	Description
AfCFTA	African Continental Free Trade Agreement
ASEAN	Association of South East Asian Nations
ATM	Automated teller machine
AUM	Assets under management
bn	Billions
CAGR	Compound annual growth rate
CAR	Capital adequacy ratio
CASA	Current Accounts and Savings Accounts
EPS	Earnings per share
FX / Forex	Foreign exchange
G10	The Group of Ten
GDP	Gross Domestic Product
K	Thousands
KES	Kenya shilling
mn	Millions
NFI	Non funded income
NSE	Nairobi Securities Exchange
SC / SCB	Standard Chartered
SCBK	Standard Chartered Bank Kenya Limited
SME	Small to Medium Enterprise
YoY	Year-on-year

Appendix: Important notice concerning forward-looking statements

Important Notice

This document contains or incorporates by reference “forward-looking statements” regarding the belief or current expectations of Standard Chartered Bank Kenya Limited (the “Company”), the Board of the Company (the “Directors”) and other members of its senior management about the strategy, businesses and performance of the Company and its subsidiaries (the “Group”) and the other matters described in this document. Generally, words such as ‘‘may’’, ‘‘could’’, ‘‘will’’, ‘‘expect’’, ‘‘intend’’, ‘‘estimate’’, ‘‘anticipate’’, ‘‘believe’’, ‘‘plan’’, ‘‘seek’’, ‘‘continue’’ or similar expressions are intended to identify forward-looking statements.

Forward-looking statements involve inherent risks and uncertainties. They are not guarantees of future performance and actual results could differ materially from those contained in the forward-looking statements. Recipients should not place reliance on, and are cautioned about relying on, any forward-looking statements. Forward-looking statements are based on current views, estimates and assumptions and involve known and unknown risks, uncertainties and other factors, many of which are outside the control of the Group and are difficult to predict. Such risks, factors and uncertainties may cause actual results to differ materially from any future results or developments expressed or implied from the forward-looking statements. Such risks, factors and uncertainties include but are not limited to: changes in the credit quality and the recoverability of loans and amounts due from counterparties; changes in the Group’s financial models incorporating assumptions, judgments and estimates which may change over time; risks relating to capital, capital management and liquidity; risks associated with implementation of Basel III and uncertainty over the timing and scope of regulatory changes in various jurisdictions in which the Group operates; risks arising out of legal and regulatory matters, investigations and proceedings; operational risks inherent in the Group’s business; risks arising out of the Group’s holding company structure; risks associated with the recruitment, retention and development of senior management and other skilled personnel; risks associated with business expansion and engaging in acquisitions; reputational, compliance, conduct, information and cyber security and financial crime risks; global macroeconomic and geopolitical risks; risks arising out of the dispersion of the Group’s operations, the locations of its businesses and the legal, political and economic environment in such jurisdictions; competition; risks associated with the applicable laws and regulations; changes in the credit ratings or outlook for the Group; market, interest rate, commodity prices, equity price and other market risk; foreign exchange risk; financial market volatility; systemic risk in the banking industry and among other financial institutions or corporate borrowers; country risk; risks arising from the judicial and dispute resolution systems; risks arising out of regional hostilities, terrorist attacks, social unrest or natural disasters; climate related transition and physical risks; business model disruption risks; and failure to generate sufficient level of profits and cash flows to pay future dividends.

Any forward-looking statement contained in this document is based on past or current trends and/or activities of the Company and should not be taken as a representation that such trends or activities will continue in the future. No statement in this document is intended to be a profit forecast or to imply that the earnings of the Company and/or the Group for the current year or future years will necessarily match or exceed the historical or published earnings of the Company and/or the Group. Each forward-looking statement speaks only as of the date of the particular statement. Except as required by any applicable law or regulations, the Company expressly disclaims any obligation or undertaking to release publicly or make any updates or revisions to any forward-looking statement contained herein whether as a result of new information, future events or otherwise.

Nothing in this document shall constitute, in any jurisdiction, an offer or solicitation to sell or purchase any securities or other financial instruments, nor shall it constitute a recommendation or advice in respect of any securities or other financial instruments or any other matter.

Standard Chartered Bank Kenya Limited is regulated by the Central Bank of Kenya.